

First. The extent of the rule.

1. **Trustee for sale may not purchase.** — A trustee for *sale*, that is, a trustee who is selling, is absolutely and entirely disabled from purchasing the trust property (*a*), whether it be real estate or a chattel personal (*b*), land, or a ground rent (*c*), in reversion or possession (*d*), whether the pur-

(*a*) *Fox v. Mackreth*, 2 B. C. C. 400; S. C. 2 Cox, 320; affirmed in D. P. 4 B. P. C. 258, &c. That *Fox v. Mackreth* was decided upon this ground, see *Gibson v. Jeyes*, 6 Ves. 377; *Ex parte Lacey*, Id. 627; *Ex parte James*, 8 Ves. 353; *Coles v. Trecothick*, 9 Ves. 247; *Ex parte Bennett*, 10 Ves. 394.

S. C. 3 B. C. C. 117; *Killick v. Flexney*, 4 B. C. C. 161; *Hall v. Hallet*, 1 Cox, 134; *Whatton v. Toone*, 5 Mad. 54; 6 Mad. 163.

(*c*) *Price v. Byrn*, cited *Campbell v. Walker*, 5 Ves. 681.

(*d*) *Re Bloye's Trust*, 1 Mac. & G. 488, see 492, 495; *Spring v. Pride*, 4 De G. J. & S. 395.

(*b*) *Crowe v. Ballard*, 2 Cox, 253;

under this rule; *Maryland Fire Ins. Co. v. Dalrymple*, 25 Md. 242; 89 Am. Dec. 779. In case such a purchase is made a resale may be ordered; *Buckles v. Lafferty*, 2 Rob. (Va.) 292; 49 Am. Dec. 752; *Scott v. Freeland*, 7 Smed. & M. 409; 45 Am. Dec. 310. A trustee may purchase after the trust ceases; *Munn v. Burges*, 70 Ill. 604; *Bush v. Sherman*, 80 Ill. 160. A cestui que trust may so acquiesce in, and confirm a sale, as to estop himself from objecting to it; *Mulford v. Minch*, 3 Stock Ch. 16; 64 Am. Dec. 472; *Hallman's St.* 13 Phila. 562; especially if it be for a long time; *Mitchell v. Berry*, 1 Met. (Ky.) 602; *Scott v. Freeland*, 7 Sm. & Marsh. 409; and if ratified by a cestui que trust it cannot be set aside by a stranger; *Johnson v. Bennett*, 39 Barb. 237; *Jackson v. Van Dalbsen*, 5 Johns. 43; *Beeson v. Beeson*, 9 Pa. St. 279; *Boerum v. Schenck*, 41 N. Y. 182; the cestui que trust must either ratify or set aside the sale, whether public or private, within a reasonable time; *Harrison v. McHenry*, 9 Ga. 164; 52 Am. Dec. 435; *Alexander v. Alexander*, 46 Ga. 291.

The rule forbids that a receiver, who has bought at a foreclosure, when he as receiver held the equity, should be allowed to hold as against a cestui que trust who claims beneficially of the purchaser; *Jewett v. Miller*, 10 N. Y. 402; 61 Am. Dec. 751. A trustee for bondholders cannot deal in the bonds for his own benefit, or lease a road to a company in which he is a stockholder; *Ashuelot R. R. v. Elliott*, 57 N. H. 397; a trustee purchasing for less than value, may be charged full value; *Prichard v. Farrar*, 116 Mass. 213. A purchase by a wife of a trustee may be allowed by an order of court; *Dundas's App.* 64 Pa. St. 325; a confidential adviser should not purchase on his own account; *Wakeman v. Dodd*, 27 N. J. Eq. 564. A trustee may not allow land to be sold for taxes, and then acquire a title at the sale; *Frierson v. Branch*, 30 Ark. 453. A purchase at a foreclosure sale may be valid; *Adams v. La Rose*, 75 Ind. 471; or one indirectly, through a third party; *Creveling v. Fritts*, 34 N. J. Eq. 134. Such a sale, though it may be set aside by the trustee; *Clark v. Deverans*, 1 S. C. 172; *Star Co. v. Palmer*, 41 N. Y. Supr. Ct. 267; *Kern v. Chalfant*, 7 Minn. 487; is valid as against strangers; *Union Slate Co. v. Tilton*, 69 Me. 244; *Miller v. Iowa Land Co.* 56 Ia. 374. Trustee must make full disclosure and show adequate price; *Spencer's App.* 80 Pa. St. 317.